

Marvell Technology, Inc.

MRVL NASDAQ

Buy

\$195.60 ▲ 3.67%

12M Price Target
\$240.00

52-Week Range
\$61.44 – \$329.88

Market Cap
\$175.56B

MRVL: XConn Deal Reset — Buying Opportunity Post-Selloff

WHAT HAPPENED

- MRVL bounced +3.67% to \$195.60 today after a brutal week — the stock fell from \$222 to \$188 in three sessions (a ~15% drop). The rebound is partly technical (oversold bounce) and partly driven by Wall Street analysts warming up to the XConn acquisition, which gives Marvell a stronger foothold in high-speed AI networking switches.
- The volume today (\$8.4M shares) is way lower than the selloff days (\$30M+) — meaning today's bounce isn't a stampede of new buyers, it's more like sellers taking a breather. That's a yellow flag on whether the bottom is really in.

WHY IT MATTERS

The XConn deal matters because it puts Marvell in direct competition with Broadcom in the AI switch market — that's a huge, fast-growing pie tied to every hyperscaler data center buildout. But here's the tell: options traders are betting bearish, with two big unusual put trades (essentially insurance bets that the stock falls) targeting \$185 and \$165 strikes. That means smart money isn't convinced the selloff is over, and there could be another leg down before the real bottom. The bigger picture is that MRVL is caught between two forces — booming AI capex from Amazon, Microsoft, and Meta (tailwind), and the constant threat of tighter US-China chip export rules under the current administration (headwind). If you believe hyperscaler spending stays strong through 2027, this dip is a gift.

POLICY & POLITICAL WATCH

The key policy story is the ongoing expansion of US chip export controls to China — Commerce Department rules keep tightening on advanced semiconductors, and Marvell has meaningful China exposure (~15% of revenue historically). Watch for any new "entity list" additions this summer that could clip revenue. On the flip side, CHIPS Act implementation is still flowing — federal money for domestic chip design and packaging is a direct tailwind for MRVL's US-based custom silicon business with hyperscalers, and the Trump administration's push for "American AI infrastructure" via executive orders keeps federal dollars pointed at companies like this.

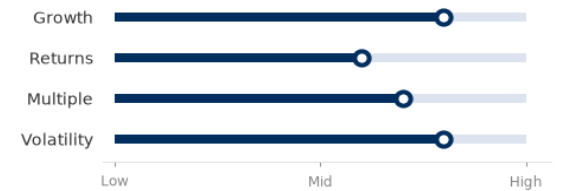
IS IT EXPENSIVE?

At \$195, MRVL trades around 24x forward earnings — meaning investors are paying \$24 today for every \$1 of profit expected next year. That's not cheap, but it's actually a discount to Broadcom (~35x) and Nvidia (~40x), which makes sense given Marvell is the smaller, less-proven player in AI silicon. The valuation is justified IF the custom silicon revenue with Amazon and Microsoft scales as promised — if those contracts underdeliver, this stock could re-rate down to the \$150s fast.

Key Data

Price (USD)	\$195.60
12M Price Target	\$240.00
Upside / (Downside)	+22.7%
Market Cap	\$175.56B
FY2027E Revenue	\$8,200M
FY2028E Revenue	\$10,500M
FY2027E EPS	\$2.85
FY2028E EPS	\$4.10
Fwd P/E	68.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



MRVL — Marvell Technology, Inc. | July 20, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$215.00	\$200.00	\$175.00
6 Months	\$260.00	\$225.00	\$165.00
1 Year	\$300.00	\$240.00	\$155.00
2 Years	\$380.00	\$285.00	\$140.00
5 Years	\$550.00	\$375.00	\$120.00
10 Years	\$800.00	\$500.00	\$100.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.4% over 5 days) is quietly leading — driven by rising oil prices and utility demand for AI data center power. AI infrastructure names benefiting from data center power buildout are also getting flows.

COOLING OFF: Broader Technology is -2.4% over 5 days — the Mag 7 trade is losing steam as the WSJ article noted, with retail investors rotating into "new AI darlings" like Credo, Sandisk, and second-tier chip plays.

ROTATION WATCH: Money is rotating OUT of mega-cap tech (Nvidia, etc.) INTO mid-cap AI infrastructure names — that's actually a tailwind for MRVL if it can establish itself in the "next tier" narrative alongside Credo.

RELATED PLAY: If MRVL's networking silicon story keeps building, watch Credo Technology (CRDO) and Astera Labs (ALAB) — they play in adjacent high-speed connectivity markets and often move together on AI capex news.

WHO'S WINNING IN THIS SPACE?

- CRDO (Credo Technology): Getting explicit love from analysts and retail investors this week as the "next tier" AI connectivity play — direct read-across positive for MRVL's XConn thesis.
- SNDK (Sandisk): Bouncing on the retail AI rotation story — memory demand tied to AI data centers is heating up.

MRVL CONTEXT: MRVL is lagging its peer group right now — down ~12% over 5 days while CRDO and other AI infrastructure names hold up better. That underperformance is either a warning sign (something specific spooked institutional holders) or a setup for mean-reversion outperformance if the fundamentals hold. The FMR (Fidelity) 15% stake staying put is reassuring — no signs of a big institutional exit yet.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Cautiously constructive after the pullback, but the bearish options flow keeps me from going all-in.

POSITION SIZE: 3-5% of portfolio — this is a high-quality name but volatility is real (52-week range is \$61 to \$330, that's insane).

ENTRY POINTS: Start a position around \$190-\$195, add on dips to \$180-\$185 if the selloff continues. Don't chase above \$210 until we see earnings.

TIME HORIZON: 12-24 months — the catalyst is the next earnings print showing AI custom silicon revenue accelerating, and clarity on the XConn integration.

WHEN TO BAIL: If Amazon or Microsoft publicly pull back custom silicon commitments, or if new China export rules directly name Marvell's product lines, I'm out.

HEDGING: If you own it, consider buying \$170-strike put options as insurance — think of it as paying a small premium so if the stock crashes, your losses are capped. Or just keep the position size modest so a 30% drawdown doesn't wreck your portfolio.